

BROOKLYN UNION GAS COMPANY**A. Annual average 1929–1938:**

Gross revenue.....	\$23,389,000
Depreciation.....	729,000
Depreciation, per cent of gross.....	3.1
Depreciation, per cent of fixed capital.....	0.67
Reported earnings for common.....	\$ 3,791,000
Dividends paid.....	2,918,000
Indicated balance to surplus.....	<u>\$873,000</u>

B. Ten-year period 1929–1938:

Surplus and contingency reserve, Dec. 31, 1928.....	\$29,161,000
Surplus and contingency reserve, Dec. 31, 1938.....	9,840,000
Decrease for period.....	<u>\$19,321,000</u>
Indicated increase per income account above.....	8,730,000
Discrepancy.....	<u>\$28,051,000</u>
Average earnings per share of common per income account.....	\$5.13
Average earnings per share of common per balance sheet.....	\$1.36

C. Explanation of discrepancy:

Transferred from surplus, etc., to:

Reserve for depreciation or retirements.....	\$25,300,000
Write-off of appraisal expense, 1937.....	1,781,000
Miscellaneous charges (net).....	970,000
Total charges to surplus, etc., 1929–1938.....	<u>\$28,051,000</u>

D. Retirement reserve “used up” 1929–1938:

Retirement reserve, Dec. 31, 1928.....	\$ 1,565,000
Additions from income, 1929–1938.....	7,290,000*
Additions from surplus and contingency reserve.....	25,300,000
Total.....	<u>\$34,155,000</u>
Balance (depreciation reserve), Dec. 31, 193.....	7,270,000
Reserve consumed by actual retirements.....	<u>\$26,885,000</u>

* In addition there were indicated appropriations from income of about \$130,000 per annum for coke-oven relining and replacement reserves, which in 1938 were combined with the depreciation reserve in the balance sheet. If these are regarded as the equivalent of depreciation, then both the depreciation allowance and the “reserve consumed” would be increased by about \$1,300,000 for the ten-year period.

The foregoing figures are given in considerable detail, since they disclose a complicated but significant state of affairs bearing on the true earning power of the company. The reader will note the following points: